

AS Business 9609 - Case Study Practice

Five data-response case studies in exam style, one per AS topic. Each builds from short knowledge questions to an extended evaluation. Suggested timing: about 1.25 minutes per mark. Model answers are in the separate booklet.

Case Study 1: Amara's Kitchen (Topic 1)

Amara runs Amara's Kitchen (AK), a vegan street-food business, as a sole trader. Demand has grown fast and she now wants to open three more outlets. She is considering forming a private limited company (Ltd) and is also being offered the chance to expand by selling franchises. Amara worries about losing control and about the unlimited liability she currently faces. Her main objective has changed from survival to growth.

- (a) Define "unlimited liability". [2]
- (b) Explain one benefit to Amara of forming a private limited company. [3]
- (c) Analyse two factors AK should consider before opening more outlets. [8]
- (d) Amara wants to grow quickly. Recommend whether she should grow by opening her own outlets (organic growth) or by selling franchises. Justify your answer. [12]

Case Study 2: TechNova (Topic 2)

TechNova runs a customer call centre employing an average of 300 staff. Last year 45 employees left. Managers use an autocratic style and pay a low basic wage with no bonuses. Labour turnover is high, morale is low and absenteeism is rising. A new HR manager suggests introducing training, team working and empowerment, and warns that the current style is demotivating skilled workers.

- (a) Calculate TechNova's labour turnover. [2]
- (b) Define "empowerment". [2]
- (c) Analyse how non-financial motivators could reduce labour turnover at TechNova. [8]
- (d) Evaluate whether changing the management style is the best way to improve morale at TechNova. [12]

Case Study 3: FreshFizz (Topic 3)

FreshFizz makes soft drinks and is launching a new low-sugar drink aimed at health-conscious young adults. The total market is worth \$40m and FreshFizz currently sells \$5m of drinks. The marketing team is deciding between penetration pricing and skimming, and is unsure whether to spend heavily on primary market research first.

- (a) Define "market segmentation". [2]
- (b) Calculate FreshFizz's current market share. [2]
- (c) Analyse the benefits to FreshFizz of carrying out primary market research before the launch. [8]
- (d) Recommend the most suitable pricing method for the new drink. Justify your answer. [12]

Case Study 4: BuildRight (Topic 4)

BuildRight makes wooden furniture using batch production. Its factory has a maximum capacity of 8,000

units per month but currently produces 5,200. Demand is rising and managers are considering switching to flow production and adopting Just-in-Time (JIT) inventory. Some managers worry about reliability of suppliers and the cost of new machinery.

- (a) Calculate BuildRight's capacity utilisation. [2]
- (b) Define "lead time". [2]
- (c) Analyse the benefits to BuildRight of adopting JIT inventory management. [8]
- (d) Evaluate whether BuildRight should switch from batch to flow production. [12]

Case Study 5: GreenGro (Topic 5)

GreenGro sells garden products. Each unit sells for \$40 and has a variable cost of \$24. Fixed costs are \$96,000 per year. The owner wants to expand and needs finance. In January the business expects an opening balance of \$10,000, cash inflows of \$60,000 and cash outflows of \$68,000. The owner is deciding between a bank loan and issuing new shares to a partner.

- (a) Calculate the contribution per unit and the break-even level of output. [4]
- (b) Calculate the net cash flow and closing balance for January. [4]
- (c) Analyse two suitable sources of finance for GreenGro's expansion. [8]
- (d) Evaluate the usefulness of break-even analysis to the owner of GreenGro. [12]

END OF CASE STUDIES.